CHAROTAR UNIVERSITY OF SCIENCE & TECHNOLOGY
Master of Computer Applications (MCA)
Semester – I University Examination 2009-10
FI 701 Fundamentals of Commerce

Date: 31/12/09,Thursday **Time: 01:00 p.m to 04:00 p.m** **Maximum Marks:70**

Instructions:
1. This question paper constitutes two sections. Each section carries 35 marks.
2. All questions are compulsory and other questions number 2, 3 and 5, 6 have internal option.
3. Figures on right side indicate marks for each question.
4. This is closed book examination.

SECTION-1

Q-1 (a) Answer following questions

(I) Match 'A' with 'B': **02**

	'A' (Situation)		'B' (Example)
1)	Decrease in assets; decrease in liability	a)	Machine purchased from Prime Ltd.
2)	Decrease in assets; decrease in equity	b)	Term loan installment paid
3)	Increase in assets; decrease in asset	c)	Raised loan from bank
4)	Increase in liability; increase in assets	d)	Salary paid to employees

(II) State with reasons whether following statements are True or False : **04**

i) The summary of individual customers accounts are known as creditors.
ii) Commission account is always an expense account.
iii) Withdrawal of the owner from the business can only be in cash form.
iv) Purchase of machinery on credit is recorded in purchase book.

(b) Explain the principle of sound lending. **04**

(c) Explain difference between private sector and public sector companies in India with suitable example. **05**

Q-2 Define the term 'business organization' and explain with suitable example different forms of business organization. **10**

OR

Q-2 (a) Explain in detail Electronic Banking and its product/services. Also discuss major bottlenecks in E-banking. **07**

(b) Explain various types of relationship between bank and customer. **03**

Q-3 Answer the following questions:

(a) Explain liquidity ratio and its usefulness. **02**

(b) What are the various types of customers for which an account can be opened with a bank? **04**

(c) Record the following transactions in journal, in the books of Falgun private Limited: **04**

	Transaction particular
(a)	Promoters were issued 75000 equity shares with a face value of Rs. 10 at a premium of 20% (i.e Rs. 2 per share) in cash
(b)	Purchase of Rs. 1.50 lakhs was made at 10% trade discount.
(c)	Bank account was opened with BOI by depositing Rs. 6 lakhs.
(d)	Credit sales of Rs. 1.80 lakhs was made to M/s Patel Bros the Party cleared 50% payment through cheque on same day.
(e)	Salary of Rs. 35000 & printing exp. Of the same amount were paid by cheque.

OR

Q-3 Prepare the Final Accounts of the Omega Ltd. As on 31-3-2006 considering following trial balance: **10**

Particulars	Debit balance (Rs.)	Credit balance(Rs.)
Share Capital	-	50,00,000
Opening Stock of Inventories	14,00,000	-
Sales & Purchases	80,00,000	1,25,00,000
Debtors & Creditors	40,00,000	2,00,000
Salary	4,00,000	-
Plant & Machinery	30,00,000	-
Furniture & Fixtures	20,00,000	-
16% Bank of Baroda Loan (1-4-2005)	-	5,00,000
Postages & Telegram	1,40,000	-
Stationary & Printing	1,20,000	-
Rates & taxes	40,000	-
Interest on Bank Loan	40,000	-
Bank Balance	60,000	-
Reserves	-	10,00,000
Total	**1,92,00,000**	**1,92,00,000**

Adjustments:

1) Closing stock as on 31-3-2006 Rs.5, 00,000.
2) Outstanding Expenses:
   i. Rates & taxes Rs.10,000
   ii. Postage & telegram Rs. 50,000
3) Provide depreciation @ 20% on Plant & Machinery, @ 10% on Furniture & Fixtures.
4) Provide bad debt @ 2% on debtors.
5) A credit purchase of furniture made on 1-1-2006 costing Rs. 50,000 was recorded in the purchases book.

SECTION-II

Q-4 (a) Answer the following questions:

(I) Following details relate to XYZ Ltd. 03

Selling price: Rs. 100 per unit

Variable cost: Rs. 62.50 per unit

Total fixed cost : Rs. 75,000

Answer the following:

1. Calculate BEP (in units) and (in Rs.)
2. Calculate the P/V ratio.
3. Calculate margin of safety at a current production of 32,000 units.

(II) The selling price is Rs. 10 per unit. The total cost is Rs. 12. The total cost is splitted into Rs. 7 variable cost per unit and Rs. 5 fixed cost per unit. Thus company losing Rs. 2 per unit 01

Answer, whether company should continue or it should be close down? Why?

(b) What are the factors affecting dividend decision? 05

(c) What are the core concepts of Marketing? Explain difference between Selling and Marketing? 06

Q-5 (a) Following details are available from the costing records of DEP Ltd.: 06

Annual production	50,000 units
Raw material consumed	Rs. 1,50,000
Direct wages	Rs. 80,000
Direct expenses	Rs. 50,000
Total factory overheads	Rs. 56,000
Total administrative overheads	Rs. 33,600

In the beginning of next year the company intends to revise its price in the raw materials, direct labour and direct electricity expenses. It is expected that the raw material cost will go up by 10%, that of direct wages by 5% and the direct expenses by 2%.

You are required to prepare the cost sheet to ascertain the cost of production per unit assuming that the company estimates its factory overhead as a percentage on prime cost and administrative overheads as a percentage of factory cost.

(b) Explain difference between Job costing and Process costing with examples. 04

OR

Q-5 What is the importance of working capital in business and what are the factors affecting investment in the working capital 10

Q-6 (a) What do you understand about human resource management and why 'HRM' is important for organization? 05

(b) Why employee welfare and working condition is important for any organization? 05

OR

Q-6 (a) Explain Importance of human resource planning with suitable example. 06

(b) Why do investment decisions require special attention? 04